ECONOMICS SEMINAR GUIDE HELD ON SAT. 3rd OCT. 2026.

STRUCTURE OF ECONOMICS PAPER

- The paper consists of two sections **A** and **B**.
- Respond to **three** items in all.
- Section A has 2 compulsory questions.
- Sections B has 2 items, Choose/ select one item.
- Time allowed / duration is 3 hours.
- Each question has 2 parts i.e. a and b.
- A good scenario will have 2 paragraphs unless otherwise.
- All test items are scenario based.
- Any additional item responded to will **not** be marked.
- Each paragraph corresponds to a task though it is **NOT** a must that paragraph 1 must always correspond to task a and paragraph 2 corresponding to task b.

P220/1 ECONOMICS

Sec A consists of **2 compulsory** items.

Item 1 Sec A will be set from Construct 1: RESOURCE ALLOCATION

This includes 1. Introduction to Economics
2. Price theory

NOTE: (i) All content of price mechanism should be taught under free enterprise economy

(ii) All content of private and public sector (formerly from Structure of Uganda's economy) should be taught under Mixed economy.

Item 2 of Sec A will be set from Construct 4: POPULATION AND LABOUR DYNAMICS FOR PRODUCTION

This includes topics 1. Production theory.
2. Market structures.

SECTION B P220/1 ECONOMICS

This consists of 2 items from construct 4: POPULATION AND LABOUR DYNAMICS FOR PRODUCTION.

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A candidate chooses only 1 item

Item 3 is set from population, labour unions and Employment and Unemployment
NOTE: This area also includes labour force, labour supply, labour demand, labour productivity formerly taught under production.
Item 4 is set like item 3 above.

P220/2 ECONOMICS
Sec A consists of **2 compulsory** items
Item 1 of section A will be set from construct 2: ECONOMIC STRATEGY
This includes topics
1. Economic growth, Economic development, Development theories and Economic development strategies
2. International Trade

Item 2 of section A will be set from construct 3: ECONOMIC PLANNING AND POLICY
This includes topics
1. Economic development planning
2. Public finance & fiscal policy

SECTION B P220/2
This consists of 2 optional items from construct 3 ECONOMIC PLANNING AND POLICY.
A candidate attempts only 1 item
Item 3 is set from topics
1. National Income
2. Money, Banking and Inflation

Item 4 is set like item 3 above.

INGREDIENTS OF A WELL APPLIED RESPONSE
State a point;
↓
Show how it is achieved/implemented
↓
Its effect /So what
↓
Link the point to the scenario.

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(P220/1)

SECTION A

Item 1 (CONSTRUCT 1: RESOURCE ALLOCATION)

In Uganda market forces of demand and supply play a significant role while the government plays an active but limited role in regulating markets and providing public goods and services for social welfare maximization. The aim of the private businesses is to maximize profits. The private sector does business and is the key driver of economic growth while the government's main role is to create an enabling environment for the private sector to flourish. However, during a consultative meeting organized by the Private Sector Foundation, the private sector operators noted that although they contribute significantly to the nation's development, the sector's potential is constrained by inadequate support services and policy inconsistencies. They have therefore called upon the government to create a more enabling environment that can stimulate private sector growth. Meanwhile, some private sector operators are encouraging the use of electric motorcycles in several urban centers of Uganda, with several companies introducing new models. Some transport operators and delivery companies have started replacing fuel-powered motorcycles with electric motorcycles. Reports indicate that these motorcycles require charging at designated stations and are being promoted as a modern, cheaper and environmentally friendly means of transport. Despite increased investment in charging stations and distribution networks, the number of consumers purchasing electric motorcycles remains relatively low compared to conventional fuel-powered motorcycles. Industry stakeholders note that many potential users are still hesitant to switch, even as electric motorcycles become more available in the market.

Task:

As a student of economics, advise

(a) government on how to address the constraints of the economic players indicated in the scenario.

(b) the stakeholders in the electric motorcycle industry on the strategies that can be taken to overcome the challenge in the industry.

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(a) **Measures That Can Be Adopted by Government to Address Constraints /measures to Support Growth of the Private Sector.**

Point/measure	How it is achieved	So what / effect
Develop infrastructure	-set up roads. -maintain existing roads	-reduces transport costs and increases profits of investors
Provide investment incentives to private investors	-provide subsidies -provide tax holidays -provide tax exemptions	Reduces costs of production and increases profits of investors
Improve political climate	-Strengthen police and army -install CCTV cameras	Encourages investment due to safety for life and property
Adopt land reforms	-Review existing land laws	Increases access to land by private investors.
Provide affordable credit Improve technology	-provide soft loans - through research - technological transfer	Avails funds to investors to purchase factor inputs -increases efficiency in production hence production of high-quality output.
Promote accountability		
Improve labour skills		
Widen market		
Improve entrepreneurial skills		
Liberalize the economy		
Encourage savings.		

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(b) Strategies That Can Be Taken by the Stakeholders in Electric Motorcycles to Increase Demand for electronic motorcycles.

Point/measure	How it is achieved	So what / effect
Advertise the electric motorcycles	- through media platforms like Television, radios	increases awareness of these motorcycles which can increase their demand
Offer discounts	- through lowering the price	- makes them affordable by many buyers which can increase their demand.
Provide credit facilities	- through introducing hire purchase arrangements	
Improve maintenance facilities	- through importing spare parts.	
Seek for Subsidies	- through government lowering taxes on importation of electric motorcycles	
Distribute charging centres.		

Item 2 (CONSTRUCT 1: RESOURCE ALLOCATION)

The Government of Uganda considers health care and education as essential services because they improve people's welfare and contribute to national development. However, Local Councils in several rural districts of Uganda have raised concerns about the low consumption of health care and education services by some low-income households because they do not fully appreciate their long-term benefits or cannot afford them. They are calling upon government to design strategies of increasing consumption of these goods of high social value. Meanwhile, Peter operates a maize milling factory in Masaka District and buys dry maize grain from local farmers and maize dealers. Recently, prolonged dry conditions and reduced production have lowered the supply of maize grain in the district. Consequently, Peter faces numerous challenges which have led to difficulty in meeting the growing demand for maize flour. He has sought advice from you on measures that can enable him maintain production and flour. He has

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sought advice from you on measures that can enable him to secure adequate maize flour is put on market.

Task:

As a student of economics;

(a) Examine the situation and recommend strategies the government can take to address the concerns of the local council leaders.

(b) Analyze the situation and propose measures Peter can undertake to cope.

(a) Strategies That Can Be Taken by Govt to Local Address the Concerns of the Local Council Leaders / Measures to Increase Consumption of Merit Goods

Point/measure	How it is achieved	So what / effect
Government should directly provide health care and education services.	- through government constructing SEED schools and health care centers	- can provide cheap services to low income households which can make them to afford them.
Subsidize education and health care.	- through provision of captation grants. -paying teachers, nurses and doctors	- this can lower cost of providing these merit goods to make them affordable to low-income households.
Improve the quality of health care and education.	- through encouraging use of modern technology. -hiring professional doctors and teachers	- can motivate low-income households to consume them.
Develop infrastructure.	- through setting up roads. -maintaining existing roads.	- increases access to education and health care services by low-income households.
Enact and enforce laws to make consumption of health care and education mandatory.	- through introducing the Education Act	- forces low income households to consume these merit goods.

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Encourage public education campaigns		
Government can impose a maximum price on the cost of providing education and health care services.		

(b) Measures that can be undertaken by peter to ensure/ maintain production of maize flour

NB: Peter should advocate for farmers of maize grain to adopt the following strategies to maintain production of maize grain and ensure adequate supply of maize flour.

Point/measure	How it is achieved	So what / effect
Modernize agriculture.	-through irrigation farming.	- reduces dependence on nature and ensures continuous production of maize grain which enables Peter to produce maize flour throughout the year.
Adopt better technology.	-Through agricultural research -Purchase machines	-increases speed / pace in production.
Acquire more land for maize production.	-renting nearby land -acquiring soft loans	- expands productions,
Acquire affordable capital.	-Through acquiring soft loans	- increases funds for purchase of farm inputs.
Look for better quality seeds.	-Through research	- expands production
Farmers should seek for government support.	-Through applying for subsidies -applying for extension services	- reduces cost of production and expands production
Train farm labour.		

Improve farm management.		
Strength farmers co-operatives.		
Seek for extension services.		

Item 3 (CONSTRUCT 4: POPULATION & LABOUR DYNAMICS FOR PRODUCTION)
Mombwe, a farmer in Lusaalira village, grows matooke and g-nuts for home consumption on two acres of land. Most of the work on Mombwe's farm is done by his family members using simple tools like pangas and hoes. However, due to the increasing cost of living, Mombwe is planning to expand his production and sell part of his output to meet his family needs but is uncertain of how to achieve it.

In the same district, demand for essential commodities has increased and consequently led to establishment of highly competing firms. These many firms persuasively attract customers through branding, product differentiation and sales promotional strategies. However, the firms speculate that this competition is likely to have an impact on price and their profit levels. Some of the firms are uncertain of the quantity of output to produce, and the price at which to sell their products in order to maximize profits in the short run.

Task:

(a) Advise Mombwe on measures he should take to achieve his goal.

(b) Based on the market structure in the scenario, use illustrations to guide the firms how to determine output, price and profits.

(a) Measures that can be taken by Mombwe to achieve his goal (to commercialize production)

Point/measure	How it is achieved	So what / effect
Adopt modern farming practices.	- through irrigation farming - through mulching, - ensure proper spacing	- enables Mombwe to produce throughout the year. This can enable him to produce more for sale and earn income to meet the increasing cost of living.

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Change from use of simple tools to modern technology	- through buying modern farming machines. - import modern tractors	-Increases efficiency in farming hence larger pieces of land is cultivated. This can enable him to produce more for sale and earn income to meet the increasing cost of living.
Diversify production	- undertake animal rearing	Increases alternative sources of income
Seek for Agricultural Credit.	- through farmers' co-operatives - apply for soft loans	Acquires funds to purchase farm inputs
Acquire more land for production	- renting nearby land - buying more land	
Look for Improved quality of matooke suckers and g. nuts	- Buy high yielding crop varieties - look for drought resistant crops	
Seek for extension services		
Join farmer's co-operatives	- through sensitizing Mombwe on the importance of joining co-operatives.	
Improve farm management	- attending farmer's workshops. - good record keeping	
Look for better quality seeds.		
Hire labour with better farming skills		

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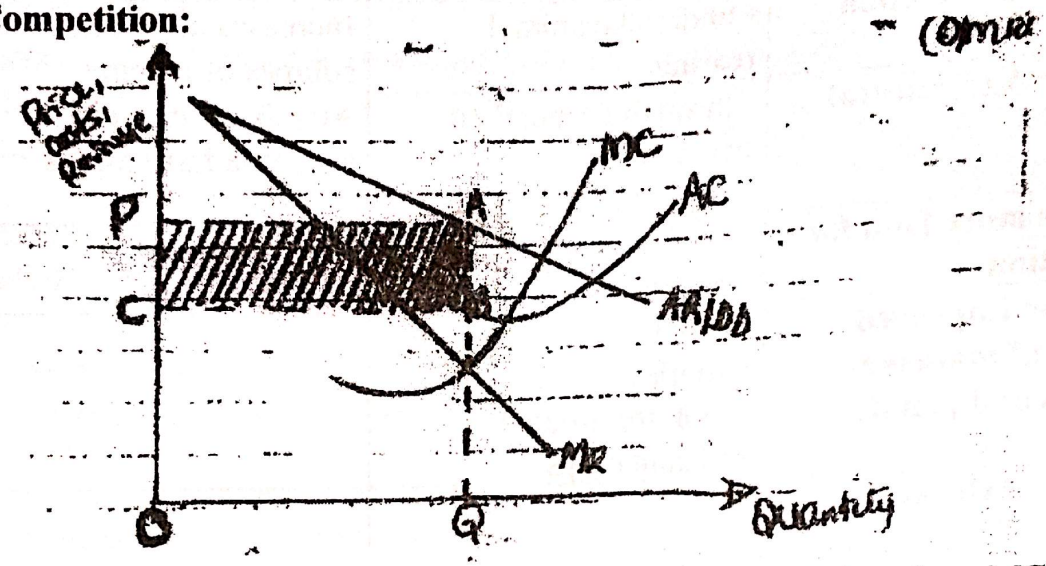
(b) Market Structure Analysis

- **The highly competing firms belong to a** Monopolistic Competitive Market due to existence of product differentiation and sales promotional strategies.
- **Profit Maximization Condition:** The profit-maximizing output occurs at a point where MC = MR.

Illustration of Short-run Profit Maximization under Mononolistic Competition:



Output Determination - firms produce output OQ at a Point where MC = MR.
Price Determination - firms determine price at Point A where the output line meets the AR/demand curve.
Cost Determination - firms incur average cost at Point B where the output line meets the AC curve.
Abnormal Profit - firms make abnormal profits represented by the shaded region PABC in the diagram since AR > AC.

Item 4 (CONSTRUCT 4: POPULATION & LABOUR DYNAMICS FOR PRODUCTION)
At Tooke Processing Factory in Bushenyi District, workers are assigned different tasks such as sorting bananas, washing, processing, packaging, quality inspection and distribution. As production increased, management observed changes in the speed of work, output levels and product quality. During a staff review meeting, factory supervisors noted that the arrangement of assigning specific duties to different workers had greatly influenced the effectiveness of operations. However, some workers were not satisfied with the work arrangement; which compelled the management to invite a labour expert at the meeting to make a presentation about its benefits to the factory and its employees.

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Relatedly, Tooke Processing Factory has become the sole largest producer of processed banana products in this area and enjoys a strong presence in both local and national markets because of its extensive distribution network. Many retailers depend on the factory for supplies, and farmers prefer selling their bananas to it because of its established market. However, during a stakeholders' meeting organized by the district commercial officer, concerns were raised by some local traders and consumer groups about the growing dominance of the factory as a single supplier in the market and called for interventions from the government to reduce the factory's dominance.

Task:

As a student of economics,

(a) Educate the workers on the anticipated benefits of the work arrangement presented in the scenario.

(b) Propose interventions that the government could undertake to address the concerns in the scenario.

(a) **Benefits of Specialization (Division of Labour) to Workers**

- Increases workers' skills and efficiency – Repeating the same task enables workers to gain experience and become more productive / the workers focus on one task and will become experts at that task
- Saves time – Workers do not waste time moving from one task to another or changing tools.
- Higher earnings – Increased productivity may lead to higher wages, bonuses, or incentives.
- Easier training – Workers will only need to be trained in how to do one task rather than having to know how to complete every stage of production
- Reduces fatigue – Performing a familiar task repeatedly may reduce the mental strain of learning many activities.
- Improves quality of work – Specialized workers become experts in their tasks, leading to better-quality output.
- Creates employment opportunities – Large-scale production resulting from specialization often requires more workers.
- Greater use of machines –
- Workers become more productive –
- Encourages co-operation among workers –
- Duplication of tools and tasks is avoided –

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(b) The possible ways to reduce the dominance or monopoly power of Tooke processing factory are:

- Taxing monopoly profits in order to encourage monopolies to reduce prices and profits. A tax on monopoly profits attempts to punish Tooke Processing Factory for exploiting their monopoly power and making excessive profit and limits expansion.
- The removal of barriers to entry to make the market more **contestable**. If, when attracted by the profits made by firms already in the market, new firms enter the market without incurring high entry costs, the resulting extra competition can bring prices down.
- Set a maximum price for the products of Tooke Processing Factory – can make it illegal for Tooke Processing Factory to sell above that set price.
- Specify the minimum quantity of output to be produced by Tooke Processing Factory
- Promote consumer associations to educate consumers about their rights to minimize consumer exploitation.
- Provide affordable capital to investors to set up competing firms
- Strengthen the bureau of standards to ensure provision of quality products by Tooke Processing Factory.

SECTION B

Item 5 (CONSTRUCT 4: POPULATION & LABOUR DYNAMICS FOR PRODUCTION)

The 2024 National Population and Housing Census showed that Uganda continues to have a predominantly youthful population. According to a population pyramid released by Uganda Bureau of Statistics (UBOS 2024 Census report), "Uganda is a young country with 50.5 percent of the population aged below 17, while age group 18-30 (youths) form 22.7 percent of the count". Many development experts view this youthful population as an important resource for future economic transformation and achievement of the Ten-Fold GDP Growth Strategy.

Nevertheless, some local leaders have expressed concern about the pressure such a population structure may place on public services and household incomes. They are therefore calling upon the government to consider ways that can harness this demographic dividend for national development.

Meanwhile, many Ugandans in the urban areas of Mukono, Kampala city, Gulu city and Mbale city who leave one job often spend some time searching for another job that matches their qualifications, experience, or expectations. During this transition period, they remain without a job despite being willing and able to work at the ongoing wage rate. Community leaders under their umbrella

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organization, the Uganda Urban Authorities Association (UUAA) are concerned about this situation and have initiated a stake holders meeting to come up with measures that can address the challenge.

Task:

As a student of economics,

(a) Advise government on the ways that can be taken to ensure that Uganda benefits from the view of development experts outlined in the scenario.

(b) Suggest measures that can be adopted to reduce the problem indicated in the scenario.

(a) **Advise government on the ways that can be taken to ensure that Uganda benefits from the view of development experts outlined in the scenario.**

- Promote industrialization to create more jobs for the growing labour force.
- Strengthen the Parish Development Model (PDM) to provide youth with capital for income-generating activities.
- Improve transport, electricity, and ICT infrastructure to stimulate investment and job creation.
- Promote value addition and agro-processing industries to absorb young workers.
- Encourage private sector investment through tax incentives and a favourable business environment.
- Expand vocational and technical education through institutions such as technical colleges and skilling centres.
- Support youth entrepreneurship through the Youth Livelihood Programme (YLP) and other youth financing schemes.
- Modernize agriculture to attract young people into commercial farming and agribusiness.
- Increase access to affordable credit through institutions such as the Uganda Development Bank and microfinance programmes.

(b) **Suggest measures that can be adopted to reduce the problem indicated in the scenario.**

- Advertise jobs
- Diversify workers skills / Provide labour skills with multiple skills
- Provide appropriate facilities / social services in areas of job placement
- Engage specialists / consultants to identify job seekers with suitable skills
- Accommodate social ties at the work place
- Shorten bureaucracy in recruitment

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Item 6 (CONSTRUCT 4: POPULATION & LABOUR DYNAMICS FOR PRODUCTION)
The 2024 National Population and Housing Census conducted by the Uganda Bureau of Statistics (UBOS) indicates that Napak District in the Karamoja subregion had a population of about 211,830 people living in approximately 41,751 households. Napak District continues to experience population growth due to high birth rates and improved access to healthcare services. Despite government efforts to promote family planning services, many households in Napak continue to record high fertility rates. The inability of the local people to use family planning methods has raised fears among health workers because of the increased pressure on social services. This has prompted the district population officer to organize a local community meeting aimed at discussing possible measures that authorities can adopt to increase the uptake of family planning services in the district.

Meanwhile, recent demographic reports highlight that a large proportion of Napak's working-age population is engaged in subsistence agriculture using simple tools cultivate small plots of land, petty trade, boda boda transport and other informal activities with low output per worker. This has raised concern among development planners, who contend that the district has failed to generate enough productive formal jobs to fully utilize its expanding labour force. They have urged district authorities to implement policies that can improve the output per worker.

Task:

As a student of Economics,

(a) Make proposals to the district authorities on how to resolve the fears of health workers.

(b) Advise the district authorities on the measures that can be initiated to address the concerns of the economic analysts.

(a) Proposals the district authorities can adopt to resolve fears of health workers / to increase the use of family planning methods

Point/measure	How the measure is implemented	So what/effect
Engage community education campaigns.	through community meetings	creates awareness among local people about use of family planning methods.
Develop health infrastructure.	through constructing health centres	creates increased access to health services which

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		can increase uptake of health care services.
Direct Provision of Contraceptives.	- through organizing family planning clinics	Provides affordable family planning methods especially in remote areas of Napak District.
Improve quality of contraceptives.		
Encourage community participation	Through involving local leaders.	
Train health workers.		

(b) Measures that can be taken by district authorities to address the concerns of economic analysts/ways to improve labour productivity

Point/ measure	**How**	**So what /effect**
Increase wages for labour.	Budget more on wages	Motivates workers to produce more
Encourage specialization and division of labour	Allocate work according to ability	Increases speed/pace of doing work
Improve working conditions.	- offer good accommodation facilities - provide good meals to workers	Motivates workers to produce more
Modernize Agriculture/adopt better farming methods	- use mulching - use proper spacing - use of irrigation farming	
Introduce performance-based rewards.	- offer leadership positions to outstanding workers - increase payments - give bonuses	Motivates workers to produce more
Improve technology	- use machines - undertake research	Increases efficiency in farming activities

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Item 7 (CONSTRUCT 4: POPULATION & LABOUR DYNAMICS FOR PRODUCTION)
According to the 2024 Uganda Bureau of Statistics (UBOS) National Population and Housing Census report, Jinja City has a resident population of about 292,386 people, making it one of Uganda's fastest-growing urban centers. During a public dialogue at Jinja City Hall, some residents expressed concern that the rapid population growth is putting pressure on social amenities and urban infrastructure. They appealed to the city authorities to work with the Central government to adopt effective measures to manage the growing population.
In a related development, despite sustained increase in the output from productive activities, Jinja city continues to have a large number of youth not in employment. Although employers continue to advertise vacancies in various sectors in the city such as manufacturing, ICT, and agro-processing, many positions remain unfilled, largely because of mismatches between the skills employers seek and the skills potential workers offer. This situation has prompted calls among labour experts in the city for practical interventions by government to address the growing mismatch between labour market needs and workers' skills.

Task:

As a student of Economics,

(a) Advise the city authorities on the measures to adopt to manage the problem in the scenario.

(b) Propose interventions that can be taken to address the challenges in Jinja City.

(a) Measures that can be adopted by city authorities to manage the growing population

- **Promote industrialization** — through provision of investment incentives — create employment opportunities.
- **Expand provision of family planning services** — through providing free transport / infrastructure.
- **Expand social amenities / facilities** — through constructing schools, hospitals.
- **Provide / extend affordable credit.**
- **Encourage private investment.**
- **Modernize agriculture.**
- **Empower the youth with vocational skills.**
- **Improve entrepreneurial skills.**

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(b) **Interventions that can be taken to address the challenges in jinja city / measures to control structural Unemployment**

Point /measure	How	So what
Diversity production	- through expanding the different types of industries	creates new job opportunities to reduce dependence on declining sectors.
Allow flexibility in production to match changes in fashion and taste.	through enabling firms to adjust output to changing consumer preferences	minimizes job losses caused by outdated products.
Encourage importation of cheap factor inputs.	through accessing cheaper inputs	Lowers production costs, which encourages expansion of firms and increase employment opportunities
Retrain workers to acquiring appropriate skills.	Through organizing workshops.	equips workers with skills that fit into new jobs.
Train workers in multiple skills	through attending workshop	Enables workers to easily switch between jobs in different sectors.
Carry out proper manpower planning.		
Adopt appropriate technology.		
Expand market		
Promote political stability.		

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SECTION A

Item 1 (CONSTRUCT 2: ECONOMIC STRATEGY)

Government of Uganda launched in 2000 a strategy of transforming farming from subsistence in to a modernized profitable and commercialized activity. It embarked on construction of feeder roads, improving access to markets, undertook agricultural research among others to achieve this strategy. However, many small scale farmers have not fully embraced it. The Ministry of agriculture, animal industry and fisheries is concerned and has organized a consultative meeting where you have been as an expert in economics.

Furthermore, government of Uganda signed a multi-bilateral trade agreement with Tanzania in 2026 where they agreed to trade in commodities like sugar, milk, steel electric poles to help balance trade. Despite this, some Ugandan exporters are frustrated and feel like abandoning selling goods into Tanzania. Economic analysts have observed that some exporters benefit less from this trade and are seeking for government intervention.

You have been approached as a student of economics;

Task

a) Write a presentation that will be used to convince the farmers to accept the strategy high lightened in the scenario.

b) Advise government on the strategies it can adopt to address the concerns of the economic analysts in the scenario.

(a) The following are the arguments to be used to convince farmers to accept agricultural modernization strategy:

- **It improves skills of farmers:** This is through agricultural mechanization where farmers learn to acquire skills of maintaining machines which increases efficiency in production.
- Increases incomes of farmers.
- Improves quality of output produced.
- Stabilizes prices of agricultural products.
- Increases output produced.
- Reduces seasonal unemployment.
- Increases utilization of resources.
- Promotes development of infrastructure.
- It ensures food security.

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(b) **The following are strategies government can adopt to enable exporters to gain from trade between Uganda and Tanzania:**

- **Improve infrastructure:** This can be through maintaining existing roads to reduce the cost of transport of exports to Tanzania which can enable them to benefit from this bi-lateral trade.
- **Improve accountability at border points:** Through enforcing anti-corruption laws.
- **Appeal to government** to maintain political stability.
- **Appeal to Tanzania** to remove trade barriers.
- **Encourage specialization** in trade between Uganda and Tanzania.
- **Appeal to government** to adopt use of common currency.
- **Appeal to governments** to initiate the use of common language.
- Improve quality products.
- Standardize weights and measures.
- Bureaucracy involved in trade should be reduced.

Item 2 (CONSTRUCT 2: ECONOMIC STRATEGY)

The Government of Uganda, under the Vision 2040 framework, seeks to transform the country into a prosperous middle-income economy through industrialization as one of the pillars that align with the vision. However, during a public dialogue on Uganda's industrialization agenda, several economists expressed concern about the slow pace of industrial growth in some parts of the country. They argued that although Uganda possesses abundant resources, many investors in the sector continue to face challenges. The economists therefore called upon the government to establish the necessary conditions that would promote realization of the industrialization agenda.

Meanwhile, Uganda is part of the East African Community (EAC) and benefits from regional trade agreements. The Common Market arrangement has the potential of creating opportunities for Ugandan industries in regional markets. However, at a meeting of manufacturers and industrialists in Kampala, some business owners complained about increased competition from firms in neighbouring countries and argued that regional integration had not yielded sufficient benefits for local industries. However, trade experts and government officials at the meeting maintained that the EAC had created numerous opportunities for local industries and urged the business owners to take advantage of the anticipated gains arising from the cooperation on economic matters in the regional market.

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Task:

As a student of economics,

(a) Explain the conditions necessary for successful attainment of the agenda as indicated in the scenario.

(b) Educate the business owners on the gains that they could derive from the arrangement outlined in the scenario.

(a) Conditions necessary for successful attainment of industrialization strategy as indicated in scenario:

- **High level of entrepreneurial ability:** Through training which increases ability to undertake skills and initiate the setting up of industries hence promoting successful attainment of industrialization strategy.
- **Well developed infrastructure**. This is through setting up of roads which reduces transport costs and increases access to markets hence promoting successful attainment of industrialization strategy.
- Presence of adequate capital.
- Existence of a large market / market research.
- Adequate supply of raw materials.
- High levels of technology.
- Increased provision of investment incentives to industrial investors.
- High level of accountability.
- Low rate of inflation/existence of price stability.
- Favourable/good land tenure system.
- Stable political climate/existence of political stability.

(b) Arguments to convince business owners on the gains that they could get from common market arrangement:

- **Improved access to developed infrastructure:** This is because EAC member states set up roads, railways which increase connectivity among member states.
- Increases access to a wider market.
- Firms enjoy economies of scale.
- Increases access to a wider labor market.
- Greater access to raw materials.
- Increases competition and efficiency.
- Increases investment opportunities.

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Item 3 (CONSTRUCT 3: ECONOMIC PLANNING & POLICY)

The Parish Development Model (PDM) was launched on February 26th 2022 by President Museveni. The ministry of local government has implemented it with an intention of transforming households from subsistence to a money economy. Some members of parliament however have expressed concern about the inefficiencies in the implementation of this program and are seeking for government intervention.

Furthermore, according to the Ministry of Finance, Planning and Economic Development (MFPED) report for financial year 2026/2027, government of Uganda has increased excise duties on fuel, sugar, cooking oil and cement. The government expects to generate UGX 565 billion in combined additional revenue to enable it finance different programs. However, some analysts see this projected revenue as being difficult to collect and think that it's a wastage of time to increase these taxes. This has become a concern of the MFPED and has organized a consultative meeting where you have been invited.

As a student of economics;

Task:

(a) Propose measures that can help the government to address the concerns of the members of parliament.

(b) Write a presentation that will be used to convince the analysts to accept that the projected revenue will be collected.

(a) **Measures that can be adopted by members of government to address the concerns of members of parliament:**

- **Improve accountability:** This can be through enforcing anti-corruption laws, regular audits which can minimize diversion of resources which may ensure that the adequate funds reach the beneficiaries.
- **Improve monitoring and supervision:** This can be through establishing strong monitoring systems at parish, district and national level which can detect misuse of funds which can ensure that the programmes effected implemented.
- **Improve institutional capacity:** This can be through training Parish chiefs, SACCO leaders and local government officials which can promote efficiency in running the programme.
- Ensure timely and adequate release of funds.
- Improve technological infrastructure.
- Improve access to affordable agricultural inputs.
- Promote value addition and market access.

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- Encourage community participation.

(b) Proposals that will be used to convince the analyst that projected revenue will be collected:

- **Improve infrastructure:** This can through maintaining existing roads which can lower cost of operating various business on which taxes are imposed which can enable government to collect revenue.
- Ensure political stability.
- Train tax officials / Improve tax administration.
- Adopt anti-smuggling measures.
- Fight corruption.
- Liberalize the economy.
- Sensitize the traders about payment of taxes.
- Encourage proper use of taxes.
- Carry out regular monitoring and auditing.
- Improve tax collection system / Improve technology.

Item 4 (CONSTRUCT 3: ECONOMIC PLANNING & POLICY)

The Parish Development Model (PDM) was launched on February 26th 2022 by President Museveni. It is intended to transform households from subsistence to a money economy. However, the section of members of parliament claims that it has not served the purpose and it's a wastage of tax payer's money which should be phased out. The ministry of Local government is concerned and has organized the consultative meeting where you have been invited as an expert in economics. In a related development during the national budget speech, the minister of finance revealed that Uganda plans to spend UGX.84.3 trillion in the 2026 /2027 fiscal year. This represents a 16% rise compared to UGX 72.4 trillion in the previous year. This announcement highlighted government priorities but sparked a debate among stakeholders on expenditure growth and an outcry on whether current spending levels are sustainable under mounting fiscal pressure. They thus called for appropriate strategies to check the rising public expenditure.

Tasks

(a) Write a presentation that will be used to convince the members of parliament about the programme highlighted in the scenario.

(b) Propose strategies that government can adopt to respond to the cries of stakeholders

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(a) **Arguments that will be used to convince members of parliament to accept the programme highlighted in the scenario:**

- **Promotes financial inclusion:** This is through Parish SACCOs which enables the poor, women and youth to access financial services which allows many people to join the formal financial system.
- **Increases access to revolving funds for household enterprises:** Through Parish SACCOs - the government has given loans at low interest rate.
- Empowers women, youth, and vulnerable groups.
- Increases agricultural production and value addition.
- Improves access to government services.
- Allows mindset change and community participation.
- Strengthens local economic development.
- Creates parish level institutions.
- Improves data collection for planning.
- Creates employment opportunities.
- Promotes development of infrastructure at parish level.

(b) **Strategies that government can adopt to respond to the cries of stakeholders**

Measure	How	So what
Maintain political stability.	negotiating with rebels	reduces government expenditure on importation of expensive firearms.
Fight corruption	through enforcing anti-corruption laws	minimizes loss of government funds and reduce the need for supplementary budgeting.
Appeal for debt relief.	- Through negotiating with lenders to cancel existing debts.	Reduces government expenditure on debt repayment
Control population growth rate	– use of family planning methods.	Reduces government expenditure on provision of social services

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Avoid over ambitious planning.	Hire /employ planning officials to plan within available resources	Reduces government expenditure on expensive projects that can't be completed
Control inflation.	Adopt restrictive monetary policy	Reduces cost of implementing projects
Restructure public administration/reduce size of public service.	-Lay off non-essential public servants - merge government ministries and departments	Reduces the wage bill paid to public servants
Restructure foreign missions.		
Privatize state enterprises.		
Encourage cost sharing.		

SECTION B (P220/2)

Item 5 (CONSTRUCT 3: ECONOMIC PLANNING & POLICY)

The Uganda Bureau of Statistics (UBOS) reported that Uganda's economy continued to expand, with annual monetary value of finished goods and services produced in the country at current prices estimated at UGX 227.9 trillion in Financial Year 2024/25, while the economy registered a growth rate of 6.3%, reflecting increased economic activities in agriculture, industry, and services. During a national economic dialogue in Kampala, government officials argued that these statistics demonstrate the country's economic progress and their collection is necessary to assess economic performance. However, some members of the public questioned why government devotes significant resources to collecting and compiling such data on the size of its economy every year. Relatedly, as Uganda's economy continued to register positive growth in 2024/25, the government spending on salaries, donations, allowances and other social welfare programs has increased. Economists were worried that this action if unchecked could result in excessive growth in cash and demand deposits that would destabilize the macro-economic environment. However, to support this growth, deliberate actions were taken by Bank of Uganda (BOU) in FY 2024/25 focused on sustaining macroeconomic stability by restricting the rate at which

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prices of goods and services increase overtime to single digits while ensuring adequate levels of liquidity for the growing economy.

Task:

As a student of economics,

(a) Educate the members of the public on the importance of computing the data as indicated in the scenario.

(b) Explain the deliberate actions taken by Bank of Uganda to address the worries of economists as indicated in the scenario.

(a) **Arguments to use to convince members of public on importance of computing the data as indicated in the scenario:**

- **Facilitates economic planning and analysis:** Information on monetary values of final goods and services show contribution of each sector towards National Income account and this enables government to formulate policies and plans to develop the lagging sectors in the country.
- It is beneficial for international comparisons.
- Used to determine standard of living by way of per capita income.
- It is beneficial in comparison purposes within a country over time.
- Used to show the pattern of income distribution.
- Used to solicit for foreign aid.
- It is useful in showing the expenditure patterns within the country.
- Used to show rate of economic growth.
- Used to show level of resource utilization.

(b) **Actions that can be taken by Bank of Uganda to address the worries of economists:**

- **Raise the Central bank rate:** This is through making it expensive for commercial banks to borrow from the central bank which can force commercial banks to increase interest rate on loans which discourages public from borrowing. This can reduce money supply, reduce aggregate demand and force prices to fall.
- Sell government securities/sale of government securities.
- Increase the legal reserve requirement.
- Raise the margin requirement.
- Persuade banks to limit lending.
- Adopt restrictive credit rationing policy.
- Increase special deposits.

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- Raise cash ratio
- Advocate for selective lending to priority sectors

Item 6 (CONSTRUCT 3: ECONOMIC PLANNING & POLICY)

According to Bank of Uganda (BOU) annual reports of 2025, Uganda's Gross Domestic Product (GDP) 2025 was 6.3%. The sectors that contributed to this GDP were industry, agriculture, service among others. During the presentation of the national budget on June 12th, 2025, the Minister of Finance, planning and economic development projected an economic GDP growth rate of 7.0% for the financial year 2025- 2026. However economic analysis observed that the actual GDP growth rate was low compared to the projected one and requested for more government intervention.

Besides, firms in Uganda have experienced rising costs of raw materials, rising costs of fuel, rising interest rates on loans among others which has made them to incur rising production costs. This has forced these firms to increase the prices of goods and services in order to maintain their profit margins. This rise in the general price level has reduced consumers purchasing power and increased the cost of living. These developments have raised concern among the economic experts who are seeking appropriate policy interventions.

You have been approached as a student of economics;

Task

(b) Advise government on the measures it should adopt to address the concerns of the economic analysts in the scenario.

(b) Recommend to government the measures it can adopt to solve the challenge.

(a) Measures that can be adopted by the government to address the concerns of economic analysts/how to increase GDP:

Measures	How	So what
Provide investment incentives	This is through offering tax holidays, tax exemptions	which lowers production costs which can increase production of goods and services to achieve projected growth rate of 7.0%.
Improve technology:	This is through research, technological transfer	which can promote efficiency in production which can increase production of goods and

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		services which can increase the GDP to achieve projected growth rate.
Control population growth rate.	Use of modern family planning methods	Reduces dependency burden and increases savings for investment which can increase production of goods and services which can increase the GDP to achieve projected growth rate.
Adopt land reforms.	Review existing land laws	Promotes access to land by investors which can increase production of goods and services which can increase the GDP
Expand markets.	- Undertake market research - join regional economic integration	Increases sales and profits of investors .....
Control inflation.	Adopt restrictive monetary policy	Reduces cost of production and increases profits of investors.....
Improve political climate.	- Deploy police and army - hold peace talks with rebels - install CCTV cameras	Encourages investment due to safety for life and property.....
Develop infrastructure.	- rehabilitate roads - setup /construct roads	Reduces transport costs and promotes investment.....
Improve accountability.	- Strengthen anti - corruption unit - adopt anti-corruption laws - Arrest/dismiss corrupt government officials	Promotes proper use of funds for investment .....

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Provide affordable capital	- Provide financial support through PDM - Provide soft loans	??
Improve entrepreneurial skills.		
Encourage savings.		
Set up supportive institutions like UIA.		

(b) Measures that can be adopted by the government to control cost push inflation:

- Provide investment incentives – providing tax holidays, tax exemptions.
- Adopt maximum price legislation.
- Reduce rate of interest on loans.
- Import factor inputs from cheap sources.

Item 7 (CONSTRUCT 3: ECONOMIC PLANNING & POLICY)

Over years, government of Uganda has encouraged Ugandans to put aside some income for future use through introduction of retirement savings schemes among others. Despite these efforts, African Development Bank (2023) reported that only 18.8% of the country's Gross Domestic Product is not spent on final consumption by different sectors in the country. Economists have observed that this percentage is low compared with many emerging economies and are seeking appropriate interventions.

Additionally, centenary bank has continued to receive deposits from its customers, retained in cash a small fraction and the excess funds are lent out. The lent-out money eventually gets deposited into the banking system allowing this cycle to repeat. Despite the continued increase in deposits, the bank has remained with excess funds not borrowed which limits its ability to achieve its objectives. This has become a concern to the bank managers who are seeking appropriate measures to it.

As a learner of economics;

Task;

(a) Recommend the strategies that can be adopted to overcome the challenge in the scenario.

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(b) Propose to the bank managers the measures they can adopt to solve the problem in the scenario.

(a) **Strategies that can be adopted to promote savings as highlighted in scenario:**

- **Ensure price stability:** This can be through adopting a restrictive monetary policy which can ensure stable value of money which can motivate people to save without fear of making financial losses.
- **Increase the level of income:** this is through adopting minimum wage which can increase people's disposable income to increase their ability to save.
- Enforce compulsory savings.
- Increase interest rate on depositors' savings and on financial securities.
- Monetize the economy.
- Develop financial infrastructure.
- Promote accountability in financial sector.
- Reduce taxes on income.
- Sensitize the population on the benefits of savings.
- Control population growth rate.

(b) **Measures that can be adopted by government / bank to manage to increase demand for borrowed funds:**

- **Sensitize the public on different loan products offered:** This can be through advertising and advertisement to create awareness which can increase demand for loanable funds.
- **Develop financial institutions:** This is through distributing commercial banks to increase access to them which can in turn increase demand for loanable funds.
- Advocate for price stability/control inflation.
- Provide investment incentives.
- Monetize the economy.
- Promote political stability.
- Improve accountability.
- Diversify collateral security

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